NIS ECONOMICS · GRADE 12 · TERM 2

Kazakhstan's Inflation Story

Unit: Macroeconomic Indicators — Week 2, Lesson 1: Three Shocks, One Economy

Learning Objectives

By the end of this lesson, you will be able to:

- Recognize inflation as a sustained rise in the general price level, measured via a basket of goods (CPI) — full formula toolkit comes in Lesson 3.
- Classify three real Kazakhstani inflation episodes (2015-16, 2023-24, 2025) by their underlying cause.
- Interpret official stat.gov.kz price-index data broken down by food, non-food, and services.
- Evaluate the claim that Kazakhstan is "food self-sufficient" against real production data, and distinguish a structural import dependency from a one-year currency shock.

QUICK RECAP

What Is Inflation?

Inflation = a sustained increase in the general price level of an economy over time

Statisticians track this using a Consumer Price Index (CPI): a fixed "basket" of goods and services an average household buys, each weighted by how much of the household budget it represents. We'll build the full CPI formula and calculation toolkit in Lesson 3 — today we use Kazakhstan's actual published inflation data to see WHY prices rose in three very different episodes.

Example Kazakhstan's Bureau of National Statistics (stat.gov.kz) splits its CPI into three categories: food products, non-food products, and paid services — which turns out to matter a lot for today's case.

WHY KAZAKHSTAN IS A GREAT CASE STUDY

Three Spikes, Three Different Stories

- 2015-16: inflation surged after the tenge was allowed to float freely — a classic currency-devaluation shock.
- 2023-24: inflation fell as the National Bank's policy appeared to work — a disinflation success story.
- 2025: inflation rose again — but through a completely different channel than 2015-16, even though it's still "about the exchange rate."
- Same country, same basic mechanism (imported goods get pricier when a foreign currency strengthens against the tenge) — but three distinct real-world triggers.

ACT ONE

2015-2016: The Tenge Float

BACKGROUND

Why the Tenge Was Floated

- Kazakhstan had managed its exchange rate within a band for years, but falling oil prices (2014-15) made this increasingly expensive to defend.
- On 20 August 2015, the National Bank abandoned the currency band entirely and let the tenge float freely.
- USD/KZT moved from roughly 185 to a low near 350 within months — the tenge lost more than half its value against the dollar.
- Because Kazakhstan imports a large share of consumer goods, a weaker tenge meant imported goods instantly became much more expensive in tenge terms.

THE NUMBERS

Inflation Spikes After the Float

13.6%

Annual inflation, 2015

22.6%

Non-food inflation, 2015

10.9%

Food inflation, 2015

8.5%

Annual inflation, 2016 (still elevated)

Source: Statistics Committee of the Ministry of National Economy, via Tengrinews (5 Jan 2016) and Azernews.

READING THE BREAKDOWN

Why Non-Food Inflation Spiked Hardest in 2015

Imported, non-food goods passed the devaluation through to prices fastest and hardest.

Category	2015 inflation	What drove it
Non-food goods	22.6%	Mostly imported — textiles +35.4%, pharmaceuticals +31.3%
Food	10.9%	Partly domestic production cushioned the shock
2016 (all categories)	Food +9.7% / Non-food +9.5% / Services +6.1%	The delayed pass-through spread more evenly a year later

ACT TWO

2023-2024: Disinflation

THE NUMBERS

Inflation Comes Down

9.8%

Annual inflation, 2023

8.6%

Annual inflation, 2024 — hit the National Bank's target

13.3%

Paid services inflation, 2024 — the stubborn one

5.5%

Food inflation, 2024 — comparatively mild

Source: Bureau of National Statistics (stat.gov.kz), official CPI publications.

WHAT THE BREAKDOWN TELLS US

Inflation Fell Overall — But Not Everywhere

- Non-food inflation was 8.3% and food inflation just 5.5% in 2024 — both comparatively tame.
- Paid services inflation stayed high at 13.3% — services (rent, utilities, transport fares, healthcare) are usually "stickier": they adjust more slowly and are driven more by domestic wages and administered prices than by the exchange rate.
- This is a common pattern in disinflation episodes worldwide: goods prices come down with the exchange rate/supply shock, but services inflation lags behind.

ACT THREE

2025: A Different Kind of Shock

GUESS FIRST

Is Kazakhstan Self-Sufficient in Food?

Kazakhstan has vast farmland and huge livestock herds. Before the next slide: do you think Kazakhstan produces enough of its own food to meet domestic demand?

- □ Yes — fully self-sufficient across all food categories
- □ Mostly, but it still imports meaningful amounts of some foods
- □ No — it depends heavily on imports for most food

Discuss your guess with a partner before the next slide.

THE REAL DATA

Self-Sufficiency Depends Entirely on the Product

Bureau of National Statistics data (Jan-Apr 2026) — domestic production as a share of domestic consumption.

Food category	Domestic production share
Meat	87.6%
Processed/canned vegetables	16%
Processed fruit and nuts	14%
Fruit overall	under 20%
Animal fats	almost entirely imported

SO WHAT ACTUALLY HAPPENED IN 2025?

A Currency Pass-Through — Not a "Dependency on Russia" Story

- The ruble appreciated roughly 24% against the tenge, on average, in 2025 compared to 2024.
- Kazakhstan increased food purchases from Russia through 2025 (including sugar, meat, chocolate, and rice) — so a stronger ruble made those specific imports costlier in tenge terms.
- This is NOT the same claim as "Kazakhstan structurally depends on Russian meat" — historically, meat imports have actually leaned more on other suppliers. It's a one-year exchange-rate shock hitting a basket that happens to include some Russian-sourced food.
- The lesson: "imported inflation" can come from the SAME country (Kazakhstan) via completely DIFFERENT currency channels (dollar in 2015-16, ruble in 2025).

THE NUMBERS

2025: Food Becomes the Main Driver

12.3%

Annual inflation, December 2025

13.5%

Food inflation — more than double its 2024 rate

11.1%

Non-food inflation

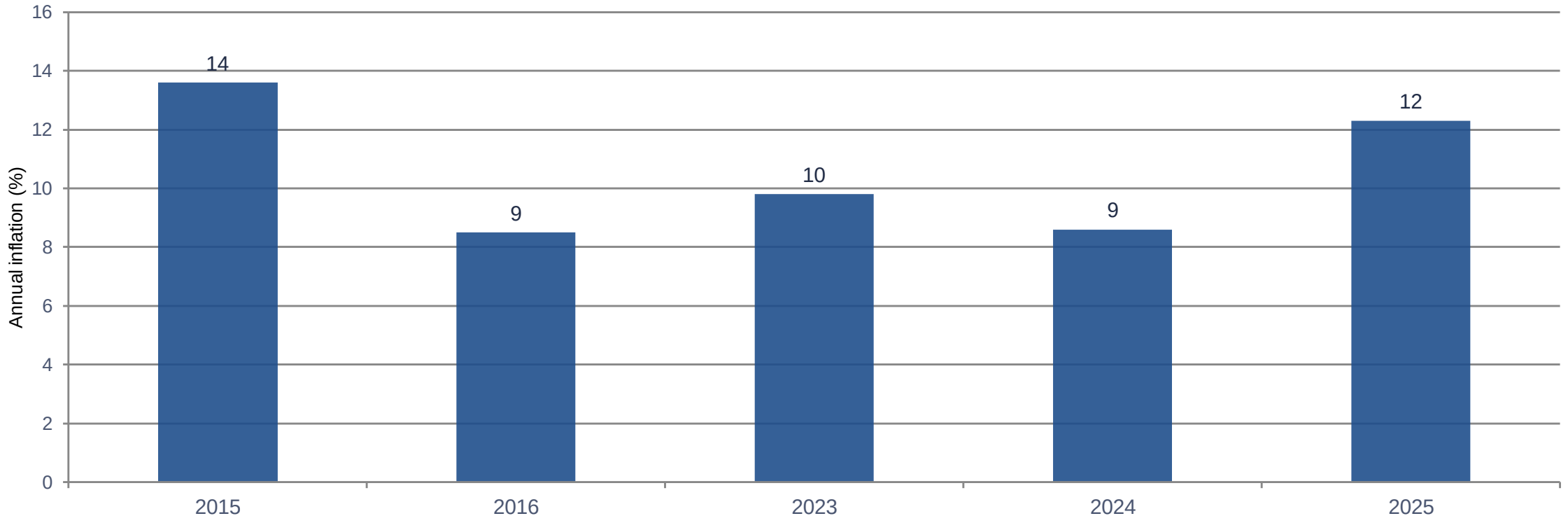
12%

Services inflation — actually COOLED from 13.3%

Source: Bureau of National Statistics (stat.gov.kz), December 2025 CPI publication.

Kazakhstan's Headline Inflation, 2015-2025

Three spikes, three different underlying stories — but notice 2025 is already the second-highest year of the decade.



Sources: Statistics Committee via Tengrinews/Azernews (2015-16); Bureau of National Statistics, stat.gov.kz (2023-25).

CASE DISCUSSION — 25 MINUTES, SELF-MODERATED

Discuss in Your Group Before the Handout

You moderate this discussion yourselves — I'll circulate and may ask your group to justify an answer.

1. Which episode was a currency-devaluation shock, which was a policy success, and which was a different kind of imported-inflation shock?

2. What's the key difference between the 2015-16 and 2025 shocks, given both are really "exchange-rate" stories?

3. Is it accurate to say "Kazakhstan relies heavily on Russia for food"? Build a more precise answer using the data.

4. Why might services inflation behave so differently from food/non-food inflation, in both 2023-24 AND 2025?

CASE WORK

Today's Case Handout

25-minute group discussion above, then independent calculation and written questions

- Work through the case handout using the real figures from this deck.
- The handout includes calculation questions using the actual CPI basket weights and category data shown today.
- Finish the written analysis questions independently once your group has discussed the reasoning.

WRAPPING UP

What This Case Taught Us

- Inflation isn't one thing — the SAME country can experience inflation spikes from completely different causes within a decade.
- A weaker domestic currency makes imports costlier and pushes prices up — but WHICH currency, and WHICH goods, changes the story each time.
- "Self-sufficient" is not a yes/no fact — it depends entirely on which product you're asking about.
- Next lesson: we look at a very different kind of macro story — China's youth unemployment crisis, and why a country's headline unemployment rate can hide a very different reality underneath.

BEFORE YOU GO

Exit Ticket

- In 1-2 sentences: explain why non-food inflation spiked harder than food inflation in 2015, but food inflation was the main driver in 2025.
- Name one way the 2025 inflation story is NOT simply "Kazakhstan depends on Russian meat."